

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO S.B. 1554
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. ~~Section 20-461, Arizona Revised Statutes, is amended~~
3 ~~to read:~~

4 ~~20-461. Unfair claim settlement practices~~

5 ~~A. A person shall not commit or perform with such a frequency to~~
6 ~~indicate as a general business practice any of the following:~~

7 ~~1. Misrepresenting pertinent facts or insurance policy provisions~~
8 ~~relating to coverages at issue.~~

9 ~~2. Failing to acknowledge and act reasonably and promptly upon ON~~
10 ~~communications with respect to claims arising under an insurance policy.~~

11 ~~3. Failing to adopt and implement reasonable standards for the~~
12 ~~prompt investigation of claims arising under an insurance policy.~~

13 ~~4. Refusing to pay claims without conducting a reasonable~~
14 ~~investigation based upon ON all available information.~~

15 ~~5. Failing to affirm or deny coverage of claims within a reasonable~~
16 ~~time after proof of loss statements have been completed.~~

17 ~~6. Not attempting in good faith to effectuate prompt, fair and~~
18 ~~equitable settlements of claims in which liability has become reasonably~~
19 ~~clear.~~

20 ~~7. As a property or casualty insurer, failing to recognize a valid~~
21 ~~assignment of a claim. The property or casualty insurer shall have the~~
22 ~~rights consistent with the provisions of its insurance policy to receive~~
23 ~~notice of loss or claim and to all defenses it may have to the loss or~~
24 ~~claim, but not otherwise to restrict an assignment of a loss or claim~~
25 ~~after a loss has occurred.~~

26 ~~8. Compelling insureds to institute litigation to recover amounts~~
27 ~~due under an insurance policy by offering substantially less than the~~
28 ~~amounts ultimately recovered in actions brought by the insureds.~~

1 ~~9. Attempting to settle a claim for less than the amount to which a~~
2 ~~reasonable person would have believed he was entitled by reference to~~
3 ~~written or printed advertising material accompanying or made part of an~~
4 ~~application.~~

5 ~~10. Attempting to settle claims on the basis of an application which~~
6 ~~THAT was altered without notice to, or knowledge or consent of, the~~
7 ~~insured.~~

8 ~~11. Making claims payments to insureds or beneficiaries not~~
9 ~~accompanied by a statement setting forth the coverage under which the~~
10 ~~payments are being made.~~

11 ~~12. Making known to insureds or claimants a policy of appealing from~~
12 ~~arbitration awards in favor of insureds or claimants for the purpose of~~
13 ~~compelling them to accept settlements or compromises less than the amount~~
14 ~~awarded in arbitration.~~

15 ~~13. Delaying the investigation or payment of claims by requiring an~~
16 ~~insured, a claimant or the physician of either to submit a preliminary~~
17 ~~claim report and then requiring the subsequent submission of formal proof~~
18 ~~of loss forms, both of which submissions contain substantially the same~~
19 ~~information.~~

20 ~~14. Failing to promptly settle claims if liability has become~~
21 ~~reasonably clear under one portion of the insurance policy coverage in~~
22 ~~order to influence settlements under other portions of the insurance~~
23 ~~policy coverage.~~

24 ~~15. Failing to promptly provide a reasonable explanation of the~~
25 ~~basis in the insurance policy relative to the facts or applicable law for~~
26 ~~denial of a claim or for the offer of a compromise settlement.~~

27 ~~16. Attempting to settle claims for the replacement of any~~
28 ~~nonmechanical sheet metal or plastic part which THAT generally constitutes~~
29 ~~the exterior of a motor vehicle, including inner and outer panels, with an~~
30 ~~aftermarket crash part which THAT is not made by or for the manufacturer~~
31 ~~of an insured's motor vehicle unless the part meets the specifications of~~
32 ~~section 44-1292 and unless the consumer is advised in a written notice~~
33 ~~attached to or printed on a repair estimate which THAT:~~

34 ~~(a) Clearly identifies each part.~~

35 ~~(b) Contains the following information in ten point or larger type:~~
36 ~~This estimate has been prepared based on the use of~~
37 ~~replacement parts supplied by a source other than the~~
38 ~~manufacturer of your motor vehicle. Warranties applicable to~~
39 ~~these replacement parts are provided by the manufacturer or~~
40 ~~distributor of these parts rather than the manufacturer of~~
41 ~~your vehicle.~~

42 ~~17. As an insurer subject to section 20-826, 20-1342, 20-1402 or~~
43 ~~20-1404, or as an insurer of the same type as those subject to section~~
44 ~~20-826, 20-1342, 20-1402 or 20-1404 that issues policies, contracts,~~
45 ~~plans, coverages or evidences of coverage for delivery in this state,~~
46 ~~failing to pay charges for reasonable and necessary services provided by~~
47 ~~any physician licensed pursuant to title 32, chapter 8, 13 or 17, if the~~

1 ~~services are within the lawful scope of practice of the physician and the~~
2 ~~insurance coverage includes diagnosis and treatment of the condition or~~
3 ~~complaint, regardless of the nomenclature used to describe the condition,~~
4 ~~complaint or service.~~

5 ~~18. Failing to comply with chapter 15 of this title.~~

6 ~~19. Denying liability for a claim under a motor vehicle liability~~
7 ~~policy in effect at the time of an accident without having substantial~~
8 ~~facts based on reasonable investigation to justify the denial for damages~~
9 ~~or injuries that are a result of the accident and that were caused by the~~
10 ~~insured if the denial is based solely on a medical condition that could~~
11 ~~affect the insured's driving ability.~~

12 ~~B. Nothing in Subsection A, paragraph 17 of this section shall be~~
13 ~~construed to DOES NOT prohibit the application of deductibles,~~
14 ~~coinsurance, preferred provider organization requirements, cost~~
15 ~~containment measures or quality assurance measures if they are equally~~
16 ~~applied to all types of physicians referred to in this section, and if any~~
17 ~~limitation or condition placed upon payment to or upon services, diagnosis~~
18 ~~or treatment by any physician covered by this section is equally applied~~
19 ~~to all physicians referred to in subsection A, paragraph 16-17 of this~~
20 ~~section, without discrimination to the usual and customary procedures of~~
21 ~~any type of physician. A determination under this section of~~
22 ~~discrimination to the usual and customary procedures of any type of~~
23 ~~physician shall not be based on whether an insurer applies medical~~
24 ~~necessity review to a particular type of service or treatment.~~

25 ~~C. In prescribing rules to implement this section, the director~~
26 ~~shall follow, to the extent appropriate, the national association of~~
27 ~~insurance commissioners unfair claims settlement practices model~~
28 ~~regulation.~~

29 ~~D. Nothing contained in This section is intended to DOES NOT~~
30 ~~provide any private right or cause of action to or on behalf of any~~
31 ~~insured or uninsured resident or nonresident of this state. It is,~~
32 ~~however, The specific intent of this section IS to provide solely an~~
33 ~~administrative remedy to the director for any violation of this section or~~
34 ~~rule related to this section.~~

35 ~~E. The director shall deposit, pursuant to sections 35-146 and~~
36 ~~35-147, all civil penalties collected pursuant to this article in the~~
37 ~~state general fund.>>~~

38 Section 1. Section 32-925, Arizona Revised Statutes, is amended to
39 read:

40 32-925. Practice of chiropractic; limitations

41 A. A doctor of chiropractic is a portal of entry health care
42 provider who engages in the practice of health care that includes:

43 1. The diagnosis and correction of subluxations, functional
44 vertebral or articular dysarthrosis or neuromuscular skeletal disorders
45 for restoring and maintaining health.

46 2. Physical and clinical examinations, diagnostic ~~[x-rays,~~
47 ~~REFERRALS FOR DIAGNOSTIC]~~ IMAGING, and clinical diagnostic laboratory

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1 procedures that are limited to nasal swabs, oral swabs, sputum collection,
2 urine collection, finger pricks or venipuncture in order to determine the
3 propriety of a regimen of chiropractic care or to form a basis for
4 referring patients to other licensed health care professionals, or both.

5 3. Treatment by:

6 (a) Physical medicine modalities, therapeutic procedures and
7 adjustment of the spine or bodily articulations.

8 (b) Procedures related to the correction of subluxations and
9 neuromuscular skeletal disorders.

10 (c) Prescription of orthopedic supports.

11 (d) Acupuncture.

12 B. A doctor of chiropractic who is licensed under this chapter
13 shall not prescribe or administer medicine or drugs, perform surgery or
14 practice obstetrics.

15 Enroll and engross to conform

16 Amend title to conform

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02/18/2026

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